The *Grundrisse* (The 1857-58 Manuscript)

The Chapter on Capital: Part 19

The Simple Concept of Capital and the Limits to Capital (pp. 413-423)

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We have seen that it is in the nature of capital to maximise surplus labour and surplus productivity. This nature manifests itself through *competition*, through which the "inner tendency of capital appears as a compulsion exercised over it by *alien capital* [i.e. by *other capitals*], which drives it forward [...]. (Marx 1973, p. 413)

Marx attributes to Edward Gibbon Wakefield[1] the proposition (in his annotated edition of Smith's *Wealth of Nations*, published in numerous volumes in the 1830s) that economics has never properly theorised the notion of "free competition"; that, rather, they have only conceived of it in its *negative* sense: "i.e. as negation of monopolies, the guild system, legal regulations, etc." (Marx 1973, p. 414)

To this Marx counterposes the following. "Conceptually, *competition* is nothing other than the inner *nature of capital*, its essential character, appearing in and realised as the reciprocal interaction of many capitals with one another, the inner tendency as external necessity."[2] (Marx 1973, p. 414) Competition is not the absence of non-competition, but the manifestation of an inherent reality of capital itself. One result of this is that capital posits *both* the existence *and* the suspension of "proportionate production" simultaneously. One cannot simply "demand" of capital "proportionate production"; to the extent that capital eliminates its own disproportions it introduces at the same time new ones.[3] In the conception of capital that we have so far reached, circulation (exchange) is what relates consumption to production, and surplus labour to the "dif-

[1] The English-born colonial administrator, originator of the so-called "colonial system", which was founded on the sale of land in the colonialised countries to capitalists rather than to small-scale tenant farmers. (Marx discusses Wakefield's theories in more detail in the final chapter of *Capital* I (on "The Modern Theory of + Colonisation").

[2] "Capital exists and can only exist as many capitals, and its self-determination therefore appears as their reciprocal interaction with one another."

[3] Marx notes here that he is only expounding on capital as grounded in production, with its circulation (in the sense of the movement of capital in exchange) as external to this; in other words, he has not yet arrived at a conception of "circulating capital" ("*capital circulant*" says Marx, in French (Marx 2006, p. 326)); "circulating" here in this second sense referring not to the sphere of exchange but to the whole, repeating, movement of capital.

ferentiation of labour in an ever richer form" (Marx 1973, p. 414), that is, to the increasingly complex division of labour.

Hence, continues Marx, "[t]he simple concept of capital has to contain its civilising tendencies, etc. *in themselves*; they must not, as in the economic books until now, appear merely as external consequences." In other words, the social ("civilising") effects of capital—the driving beyond national and natural barriers, the revolutionising of the old ways of life, the expansion of needs and of the means of fulfilling them, that Marx a little earlier drew our attention to—cannot be seen either as the result of human nature; they are not, they are the result of *capital*, nor as accidental or contingent: they are inherent (innate, immanent) to capital. And an understanding of capital that does not accommodate this fact is no understanding at all.

We have established, says Marx, the individual moments of the valorisation process (Marx 1973, p. 414 says "realisation process"); however, we have only considered these moments in themselves, separately, and not as a *unity*: *as* moments.[4] Nevertheless, even so, we have already established a "foundation of contradictions". (Marx 1973, p. 415) We still have to move beyond the conception of capital we have already established.

First, we have to accommodate the contradiction between production and valorisation (Marx 1973, p. 415 has "production and realisation"), of which capital, conceptually, is the *unity*, more immanently ("*immanenter*"): as a totality, not as a set of disparate processes.

Specifically, we need to take account of the "limit [in fact multiple limits], not inherent to production generally, but to production founded on capital." (Marx 1973, p. 415, italicisation suppressed) Set against preceding forms of production, capital appears as "the *absolute* form for the development of the forces of production", while the preceding forms only appear as fetters. Yet this is to lose sight of the limits to capitalist production, which are:

(1) The limit on the exchange value of labour capacity ("*Arbeitsvermögen*") set by necessary labour; capital has to set aside a certain part of the new value product of any production process to reproduce the labour capacity required for it.

(2) The limit on surplus labour and the development of the productive forces set by surplus value: given the length of the working day and the magnitude of necessary labour, there is a limit to how much surplus labour (the difference between the former and the latter) can be extracted from the worker and manifested as commodity capital.

(3) The limit on production set by money; that for the capitalist production process to continue on either the same or enlarged scale the commodity product must be realised, must be transformed into a sum of money equal to the value (objectified labour) it contains.

(4) The limit on the production of use values set by the production of exchange values.

Set against these, however, is "the *general tendency of capital*" to "abstract from" and "forget" these limits. It is the conflict between this universalising tendency of capital and the particular limits it encounters that is the root of crisis: of overproduction, of "general devaluation". In turn, this conflict is the motor for capital's higher development; but the higher the development of

[4] Which is how I interpret Marx's remark that "[s]o far in the valorisation process, we have only the indifference of the individual moments towards one another; that they determine each other internally and search for each other externally; but that they may or may not find each other, balance each other, correspond to each other." (Marx 1973, pp. 414-15, translation modified according to Marx 2006, p. 326)

capital is the more severe are the limits (particular to it) that it faces.

(In the first of three parenthetical remarks, Marx notes that it is the "necessity of expanding and leaping over the barrier to circulation" that leads to the development of the credit system ("*Creditwesen,*") "and the over-trading, over-speculation, etc. connected with it". Importantly, Marx stresses the *international* aspect of this, "e.g. the English forced to lend to foreign nations, in order to have them as customers." (Marx 1973, p. 416))

(The second (much longer) remark seems to be compilation of source materials related to the notion of the limits that the capital relation imposes on production.

First, Marx compliments the Ricardian socialist Thomas Hodgskin for pointing out the barrier to production posed by capital. The problem, Hodgskin says (according to Marx, quoting from his (Marx's) notebook, is that profit is a deduction from the value created by labour, and undermines its standard of life.[5]

Marx notes that the expansion of the world market expands the barrier of the sphere of exchange. He quotes (again, through his notebooks) from the 1821 pamphlet, published anonymously, but later attributed to Charles Wentworth Dilke, entitled *The source and remedy of the national difficulties, deduced from principles of politica economy, in a letter to Lord John Russell*,[6] to the effect that foreign trade serves to expand the consumption of the capitalist class by permitting the exchange of everyday articles of consumption for luxury goods.[7]

Marx then notes the relation between the "glut" (i.e. overproduction) to the "barrier of necessary labour". (Marx 1973, p. 417, italicisation suppressed), quoting (from his notebooks) from the anonymous 1821 pamphlet *An Inquiry into those Principles Respecting the Nature of Demand and the Necessity of Consumption, Lately Advocated by Mr. Malthus*.[8] A reduced consumption on the part of workers (through a cheapening of the real wage) does not lead to over*production* (as we have seen) but to an increase in *surplus* production, that is, higher profits.

> Mr Malthas may regard the demand on the part of labourers, and the consumption by labourers, as immaterial towards the increase of production, because they add to the supply as fast as they do to the demand. But they do not add to the supply at the same time as they do to the demand: they consume first, and then produce. What they have consumed is taken out of the market (if that is so material) before what they have produced comes in. in the next place, the very meaning of an increased demand by them is, a disposition to take less

[5] "When the capitalist, being the owner of all the produce, will allow labourers neither to make nor use instruments, unless *he* obtains a profit over and above the subsistence of tlic labourer, it is plain that bounds are set to productive labour much within what Nature prescribes. [...] In the present state of society, the labourers being in no case the owners of capital, every accumulation of it adds to the amount of profit demanded from them, and extinguishes all that labour which would only procure the labourer his comfortable subsistence." (Hodgskin 1827, pp. 245-6)

[6] Marx would refer again to this pamphlet, both in *Capital* and in the *Theories of Surplus-Value*.

[7] "[...] *foreign trade is mere barter and exchange for the convenience and enjoyment of the capitalist*: he has not a hundred bodies, nor a hundred legs: he cannot consume, in cloth and cotton stockings, all the cloth and cotton stockings that are manufactured; therefore they are exchanged for wines and silks; but those wines and silks represent the surplus labour of our own population, as much as the cloths and cottons, and in this way the destructive power of the capitalist is increased beyond all bounds:-by foreign trade the capitalists contrive to outwit nature [...]." (Dilke n.d.)

[8] A pamphlet which focuses itself on an attack on Malthus' argument that a class of unproductive landowners plays a positive economic role by acting as a source of demand, thus preventing the problem of overproduction.

> themselves, and leave a larger share for their employers; and if it be said that this, by diminishing consumption, increases glut, I can only answer, that glut then is synonymous with high profits. (*An Inquiry* 1821, pp. 59-60)

"Herein," says Marx, "the one side of the contradiction perfectly expressed." (Marx 1973, p. 417)

Marx again quotes from (his notebook summaries of) Hodgskin, to the effect that the requirement for capitalist profit, and the accumulation of capital itself, place "unnatural" and arbitrary limits on both production and population.

He then quotes Malthus' *Principles of Political Economy* at length, where he (Malthus), according to Marx, addresses "the contradictions between capital as instrument of production in general and as instrument of production of value" (in effect, the contradiction in the commodity form between use value and exchange value). (Marx 1973, p. 417) Of relevance to Marx's discussion of overproduction is Malthus' comment (in Marx's paraphrase) that "the demand created by the productive labourer himself can never be an adequate demand, because it does not go to the full extent of what he produces. If it did, there would be no profit, consequently no motive to employ him. The very existence of a profit upon any commodity presupposes *a demand exterior to that of the labourer who has produced it*." (Marx 1973, p. 418)[9])

(In the third remark, Marx references the his comments earlier in the Manuscript ("[t]o be noted for (3)" is a reference to the "third moment" of simple circulation, discussed at Marx 1973, pp. 319-20) dealing with "original [*ursprunglich*] accumulation", and adds that the "preliminary" (*vorläufige*) accumulation, which is how capital appears in relation to labour, is "at first nothing else but *surplus labour* itself in the form of *surplus produce*, at the same time [as being a] *claim on alien co-existing* [Marx uses here the English word] *labour*." (Marx 1973, p. 418))

Marx returns to the main thread of his argument. In dealing with the issue of (capital's predisposition to) overproduction, we must leave out of the analysis the actions of non-capitalist classes (classes "which do not produce but live from their revenue, hence exchange with capital") Such classes will be considered here only to the extent they are important in the "historic formation of capital." (Marx 1973, p. 418)

In production based on slavery (and on what Marx calls "patriarchal agricultural-industrial production") the great majority of the population satisfy their needs through their own production; consumption is not mediated by exchange as it is when production is based on capital. In addition, under conditions of capitalist production labour has no direct use value for those who carry it out: it exists only as exchange value and to create exchange value.

Marx notes in this respect that the waged worker (unlike the slave) acts as "an independent centre of circulation, someone who exchanges, posits exchange value, and maintains exchange value through exchange"; first, through the exchange between that part of capital dedicated to wages and living labour capacity (in which the exchange value of this part of capital is posited immediately, without it having to pass through the spheres of production and circulation; second, insofar as, for each capitalist, all other workers appear as consumers, not workers. In this last respect, Marx notes that this pool of demand forms a part of the overall demand, but that it is also the case that it is the tendency of capital to increase the population of industrial

[9] This particular remark is not in fact Mathus', but comes from a footnote inserted by the editor of the second edition of Malthus' work. (Malthus 1836, p. 405n)

workers.

(Further on this last point, Marx sets out the following.[10] For our purposes here, we are uninterested in the attitude taken by one capitalist to the workers of another, since all it reveals is the illusions of the capitalist, and nothing of the relation of capital to labour. Each capitalist relates to her own workers not as consumers but as producers, and to the workers of other capitalists as consumers, not producers. The relation of each capitalist to her own workers thus encapsulates the relation of capital to labour, the "essential" relation. And it is from this that the "illusion" arises, the illusion that that "other" workers are only consumers, participants in exchange. But this is to forget the point he (Marx) attributed to Malthus a little earlier, that the demand created by the "productive worker" can never be a sufficient demand; the illusion is that, insofar as "one production sets the other into motion and [...] creates consumers for itself in the *alien* capital's workers, it *seems* to each individual capital that the demand of the working class posited by production itself is an 'adequate demand'." (Marx 1973, p. 420) However, this demand posited by production elsewhere in turn drives that production beyond the scale at which that demand would be sufficient for its product. If then the demand exterior to the demand of the workers proves insufficient then a "collapse" (Marx uses the English word) takes place and the wages paid to the workers (equal to the demand of the worker) is seen as a loss and not a gain. At this point the "immanent relation" between capital asserts itself.

Parenthetically, Marx notes the point now that what he has just said about the demand arising from the workers applies too to that for raw materials, semi-finished goods and ancillary materials. "This effective, exchange-value-positing demand is adequate and sufficient as long as the producers exchange among themselves. Its inadequacy shows itself as soon as the final product encounters its limit in direct and final consumption." (Marx 1973, p. 421) Insofar as capitals relate to one another as producer and consumer, Marx suggests, they do not relate to each other as *capitals*.)

Capital forces the worker beyond necessary labour.[11] This is how it valorises (Marx 1973, p. 421 has "realises") itself. Thus "it posits necessary labour only *to the extent* and *in so far as* it is surplus labour and the latter is *realisable* [*realisirbar*] as *surplus value*." (Marx 1973, p. 421) The *condition* of necessary labour is therefore surplus labour, and the condition of surplus labour is *objectified* labour, is *value*. In this way labour itself is limited by the limits of the production of value.

(In another parenthetical remark (the second footnote on p. 421 of Marx 1973) Marx makes the following important point. The basis of capital is value. Capital can only exist through the exchange of this value with a *counter*-value (money). Capital therefore necessarily repels itself from itself. This means that it is necessarily the case that capital appears as *many capitals*, as "alien capitals" which exchange among each other. A "universal" capital, which would confront only labour and itself, would be a "non-thing" (*Unding*) "The reciprocal repulsion between capitals is already contained in capital as realised (*realisierten*) exchange value." (Marx 1973, p. 421n))

At the same time that capital posits surplus labour as the necessary precondition of necessary labour it also seeks to restrict the worker's consumption to the minimum.[12] This represents a

[10] Just before this section of his argument, Marx writes "January (1858)".

[11] We can also say that capital sets the level of necessary labour too.

[12] This is unarguably the case in value term, and more disputably so in use value terms.

barrier to the sphere of exchange. The "boundless enlargement" of the value of capital is at the same time identical as positing barriers to the realisation of this value.

The same can be said with regard to productivity. Capital raises the productivity of labour and thus increases surplus labour-time. This necessarily decreases necessary labour-time. We have seen[13] however that the growth in relative surplus value is less than that in productivity, and that this difference in the rates of growth is itself greater the greater the growth in productivity.[14] But the growth in the mass of products grows with the growth in productivity (this is what a growth in productivity means), hence faster, and increasingly faster, than the growth in relative surplus value (and the fall in the magnitude of necessary labour). Hence the "difficulty" of realising the labour-time embodied in commodity capital grows with the growth in productivity.[15]

Marx summarises where he is in his argument.

> Capital, then, posits *necessary labour-time* as the barrier to the exchange value of living labour capacity; *surplus labour-time* as the barrier to necessary labour time; and *surplus value* as the barrier to surplus labour-time; while at the same time it drives over and beyond all these barriers, to the extent that it posits *labour capacity* opposite itself as something simply engaged in exchange, as money, and surplus labour time as the only barrier, because creatrix of surplus value. [...]
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> In one and the same moment, it posits the *values on hand* in circulation—or, what is the same, the proportion of values posited by it to the values contained in it and *presupposed* in circulation—as the barrier, the necessary barrier to its value creation [...]. It therefore drives constantly on one side towards its own devaluation, on the other side towards the obstruction of the productive forces, and of labour which objectifies itself in values. (Marx 1973, p. 423)

[13] Marx 1973, pp. 333ff.

[14] "[I]f not [i.e. if it were otherwise], then new capital would be set free—as well as labour—which [...] [would] not enter into circulation." (Marx 1973, p. 422)

[15] "We are still concerned here only with the way in which the *valorisation* process of capital is its *unvaluation process* [*Entwerthungsprocess*]. Out of place here would be the question how, while it has the tendency to *heighten the productive forces boundlessly*, it *also and equally* makes one-sided, limits, etc. the *main force of production*, *the human being himself*, and has the tendency in general to restrict the forces of production." (Marx 1973, p. 244, translation modified according to Marx 2006, p. 335)

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